TAX PREWEEK LECTURE

PRINCIPLES OF TAXATON

1. It is the act of laying a tax, i.e. the process or means by which the sovereign, through its lawmaking body, raises income to defray the necessary expenses of government.
   a. Taxation
   b. Power of eminent domain
   c. Police power
   d. None of the choices

2. It is the power of the State or those to whom the power has been delegated to take private property for public use upon paying the owners a just compensation to be ascertained according to law.
   a. Taxation
   b. Power of eminent domain
   c. Police power
   d. None of the choices

3. It is the power of the State to enact such laws in relation to persons and property as may promote public health, public morals, public safety and general welfare of the people.
   a. Taxation
   b. Power of eminent domain
   c. Police power
   d. None of the choices

4. The following are common to the inherent power of taxation, power of eminent domain and police power, except for which of the following?
   a. They are necessary attributes of sovereignty.
   b. They interfere with private rights and property.
   c. They affect all persons or the public.
   d. They are legislative in implementation.

   similarities:
   1. inherent
   2. exist independently
   3. interferes with private rights and property
   4. legislative in nature
   5. each presupposes an equivalent compensation

5. Which of the following is not a basic principle of a sound taxation system?
   a. It should be capable of being effectively enforced. administrative feasibility
   b. It must be a progressive tax. theoretical justice
   c. It must be sufficient to meet government expenditures and other public needs. fiscal adequacy
   d. It should be exercised to promote public welfare. inherent limitation

6. These are part and parcel of the power of taxation and originate from the very nature of taxation.
   a. Inherent limitations
   b. Constitutional limitations
   c. Basic principles of sound tax system
   d. None of the choices

7. Is it possible for the tax to be used partly for public and partly private without violating the limitation that a tax must be for public purpose?
   a. Yes. The purpose to be accomplished by taxation need not be exclusively public. Although private individuals are directly benefited (e.g. giving aid to flood victims), the tax will still be valid provided such benefit is only incidental.
   b. No. The purpose to be accomplished by taxation need to be exclusively public. To benefit private individuals will be tantamount to deprivation of property of those who paid the tax without due process.
   c. Yes. The purpose is not important as long as the use of the tax can be property accounted for.
   d. No. The purpose shall either be public or private. It cannot be both.

8. The principle of separation of powers ordains that each of the three branches of the government has exclusive cognizance of and is supreme in matters falling within its own constitutionally allocated sphere.
   a. The tax imposed should be for public purpose.
   b. There should be no improper delegation of the taxing power. XPN: LGU, Pres. on tariff,..
   c. The power to tax is limited to the territorial jurisdiction of the taxing government.
   d. Exemption of government entities from taxation.

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9. This stems from the principle that we pay taxes for the protection and services provided by the taxing authority which could not be provided outside the territorial boundaries of the taxing state.
   a. The tax imposed should be for public purpose.
   b. There should be no improper delegation of the taxing power.
   c. The power to tax is limited to the territorial jurisdiction of the taxing government.
   d. Exemption of government entities from taxation.

10. A fundamental rule in taxation is that, the property of one country may not be taxed by another country. This is known as:
    a. international law.
    b. international comity.
    c. reciprocity.
    d. international inhibition.

11. A law was passed by Congress which granted tax amnesty to those who have not paid income taxes for a certain year without at the same time providing for the refund of taxes to those who have already paid them. The law is:
    a. valid because there is a proper classification.
    b. not valid because those who did not pay their taxes are favored over those who have paid their taxes.
    c. valid because it was Congress which passed the law and it did not improperly delegate the power to tax.
    d. not valid because only the President with the approval of Congress may grant amnesty.

12. No person shall be imprisoned for non-payment of this.
    a. Property tax
    b. Excise tax
    c. Poll tax sedula
    d. Income tax

13. Which statement is wrong? A revenue bill:
    a. must originate from the House of Representative and on the same bill the Senate may propose amendments.
    b. may originate from the Senate and on which same bill the House of Representative may propose amendments.
    c. may have a House version and a Senate version approved separately.
    d. may be recommended by the President to Congress.

1. poll tax- residence of the person
2. RPT - location of the property
3. Tangible PP- physically located
4. Intangible PP-omicile of the owner
5. business, occupation and transaction - where the business is done
6. income tax - state where the TP is a resident or citizen
7. gratuitious transfer- state whre the transferor is/was a citizen or resident, or where the property is located.

14. The place or authority that has the right to impose and collect taxes.
    a. Situs of taxation
    b. Sources of taxable income
    c. Scope of taxation
    d. None of the choices

15. Which of the following is not an element of double taxation?
    a. Two taxes
    b. Same subject matter
    c. Same year
    d. Same amount

+same taxing authority

16. Tax dodging is:
    a. Also known as tax avoidance, and is illegal way or not paying tax. ×
    b. Also known as tax avoidance, and is the legal way of not paying tax. tax minimization
    c. Also known as tax dodging, and is illegal way of not paying tax.
    d. Also known as tax dodging, and is the legal way of not paying tax. ×

17. Which of the following is not expressly provided for in the Constitution?
    a. Prohibition against direct double taxation not unconstitutional per se. XPN: violation to other constitutional limitations
    b. Uniformity of taxation ✓
    c. Regressive system of taxation ✓
    d. Non-imprisonment for non-payment of poll tax ✓

18. An increase in land value is not recognized as income until the property is sold or exchanged. This is an application of the:
    a. Severance test
    b. Claim of right doctrine
    c. Economic benefit theory
    d. Accrual concept

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19. What is the system of taxation where all the items of income earned during the taxable period are lumped together and subjected to a single set of income tax rates?
    a. Global tax system
    b. Schedular tax system
    c. Semi-global ad semi-schedular tax system
    d. Proportionate tax system

20. One of the characteristics of tax is that:
    a. it is generally based on contract. debt
    b. it is generally payable in money.
    c. it is generally assignable. debt
    d. answer not given.

21. The Philippine Economic Zone Authority is headed by:
    a. One (1) Director General and three (3) Deputy Director Generals
    b. One (1) Director General and five (5) Deputy Director Generals
    c. One (1) Director General and seven (7) Deputy Director Generals
    d. One (1) Director General and nine (9) Deputy Director Generals

22. The Board of the Philippine Economic Zone Authority consists of:
    a. One (1) chairman and 8 members
    b. One (1) chairman and 10 members
    c. One (1) chairman and 12 members
    d. One (1) chairman and 14 members

23. The Board of Investments consists of:
    a. Three (3) governors.
    b. Five (5) governors.
    c. Seven (7) governors.
    d. Nine (9) governors.

24. The Chairperson of the Board of Investments is:
    a. The Secretary of Trade and Industry
    b. The Secretary of Finance
    c. The Secretary of Department of Public Works and Highways
    d. The Secretary of Budget and Management

25. The Fiscal Incentives Review Board consists of:
    a. Three (3) members.
    b. Five (5) members.
    c. Seven (7) members.
    d. Nine (9) members.

26. The Chairperson of the Fiscal Incentives Review Board is:
    a. The Secretary of Trade and Industry
    b. The Secretary of Finance
    c. The Secretary of Budget and Management
    d. The Secretary of Department of Public Works and Highways

27. The Bureau of Internal Revenue consists of
    a. One (1) Commissioner and two (2) Deputy Commissioners
    b. One (1) Commissioner and three (3) Deputy Commissioners
    c. One (1) Commissioner and four (4) Deputy Commissioners
    d. One (1) Commissioner and five (5) Deputy Commissioners

TAX REMEDIES

28. The final income tax return for the taxable year 2018 which was due on April 15, 2019 was filed earlier on March 15, 2019. A substantial amended return was filed on May 31, 2019. When is the last day to make a valid assessment? +3
    a. March 15, 2022
    b. April 15, 2022
    c. May 31, 2022
    d. May 31, 2025

29. *First statement*: The law on prescription, being a remedial measure, should be liberally construed in order to afford protection against harassment.

    Second statement: The exceptions to the law on prescription should be strictly construed.
    a. Both statements are correct.
    b. Both statements are incorrect.
    c. Only the first statement is correct.
    d. Only the second statement is correct.

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30. Which of the following prescriptive period of assessment and collection falls under normal or regular prescriptive period?
    a. Taxpayer filed a return and the return filed is not false of fraudulent
    b. Taxpayer failed to file a return
    c. Taxpayer filed a false return with intent to evade tax
    d. Taxpayer filed a fraudulent return with intent to evade tax

31. First statement: After the expiration of the time required to pay the delinquent tax or delinquent revenue, real property may be levied upon before, simultaneously or after the distraint of personal property belonging to the delinquent taxpayer.

    Second statement: Levy shall be effected by writing upon a duly authenticated certificate showing the name of the taxpayer and the amount of the tax and penalty due from him a description of the property upon which levy is made.

    a. Both statements are correct
    b. Both statements are incorrect
    c. Only the first statement is correct
    d. Only the second statement is correct

32. If a taxpayer is found to be liable for deficiency tax or taxes in the course of investigation conducted by a Revenue Officer, the taxpayer shall be informed through a:
    a. Notice of Discrepancy.
    b. Notice for Informal Conference.
    c. Preliminary assessment notice.
    d. Final assessment notice.

33. If after review and evaluation by the Commissioner or his duly authorized representative, as the case may be, it is determined that there exists sufficient basis to assess the taxpayer for any deficiency tax or taxes, the said Office shall issue to the taxpayer a:
    a. Notice of Discrepancy.
    b. Notice for Informal Conference.
    c. Preliminary assessment notice.
    d. Final assessment notice.

34. When shall a Formal Letter of Demand and Final Assessment Notice (FLD/FAN) be issued?
    A. If the taxpayer fails to respond within fifteen (15) days from date of receipt of the Preliminary assessment notice (PAN)
    B. If the taxpayer, within fifteen (15) days from date of receipt of the PAN, responds that he/it disagrees with the findings of deficiency tax or taxes
    a. Either A or B
    b. Neither A nor B
    c. A only
    d. B only

35. Within how many days shall the taxpayer or its authorized representative or tax agent may protest administratively against the aforesaid FLD/FAN?
    a. Within ten (10) days from the receipt of FLD/FAN
    b. within fifteen (15) days from date of receipt of FLD/FAN
    c. within twenty (20) days from date of receipt of FLD/FAN
    d. within thirty (30) days from date of receipt of FLD/FAN

36. For requests for reinvestigation, the taxpayer shall submit all relevant supporting documents in support of his protest within how many days from date of filing of his letter of protest?
    a. fifteen (15) days
    b. twenty (20) days
    c. thirty (30) days
    d. sixty (60) days

37. If the protest is denied, in whole or in part, by the Commissioner's duly authorized representative, what shall be the taxpayer's remedy?
    A. appeal to the Court of Tax Appeals (CTA) within thirty (30) days from date of receipt of the said decision
    B. elevate his protest through request for reconsideration to the Commissioner within thirty (30) days from date of receipt of the said decision.
    a. Either A or B
    b. Neither A nor B
    c. A only
    d. B only

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38. If the protest is not acted upon by the Commissioner's duly authorized representative, what shall be the taxpayer's remedy?
   A. appeal to the CTA within thirty (30) days after the expiration of the one hundred eighty (180) - day period
   B. await the final decision of the Commissioner's duly authorized representative on the disputed assessment.
   a. Either A or B
   b. Neither A nor B
   c. A only
   d. B only

39. If the protest or administrative appeal is not acted upon by the Commissioner within one hundred eighty (180) days counted from the date of filing of the protest, what shall be the taxpayer's remedy?
   A. appeal to the CTA within thirty (30) days after the expiration of the one hundred eighty (180) - day period
   B. await the final decision of the Commissioner on the disputed assessment and appeal such final decision to the CTA within thirty (30) days after the receipt of a copy of such decision
   a. Either A or B
   b. Neither A nor B
   c. A only
   d. B only

40. The remedy against an erroneously or illegally paid tax shall be filing a formal claim for refund with the BIR within how many years after payment of tax or penalty?
   a. 2 years
   b. 3 years
   c. 5 years
   d. 10 years

41. A claim for refund of erroneously collected tax must be filed with the Court of Tax Appeals within:
   I. Two (2) years from the date of erroneous payment
   II. Thirty (30) days from the lapse of the 180-day period to decide for the BIR
   III. Thirty (30) days from receipt of the BIR decision denying the claim for refund
   a. I, II and III
   b. I and II
   c. II and III
   d. I only

42. Under Section 236(A) of the Tax Code, when shall every person subject to any internal revenue tax register once, either electronically or manually, with the Bureau of Internal Revenue (BIR)?
   I - Within ten (10) days from date of employment;
   II - On or before the commencement of business;
   III - Before payment of any tax due;
   IV - Upon filing of a return, statement or declaration as required under the Tax Code.
   a. I, II, III, IV
   b. I, II and III only
   c. I and II only
   d. III and IV only

43. Which of the following statements is correct?
   a. A taxpayer shall, as a general rule, be subject to only one Electronic Letters of Authority (eLAs) for a given taxable year, covering all applicable internal revenue tax types, including Value-Added Tax (VAT).
   b. A taxpayer shall, as a general rule, be subject to several Electronic Letters of Authority (eLAs), covering all applicable internal revenue tax types, including Value-Added Tax (VAT).
   c. A taxpayer shall, as a general rule, be subject to only one Electronic Letter of Authority (eLAs), covering all applicable internal revenue tax types, excluding Value-Added Tax (VAT).
   d. A taxpayer shall, as a general rule, be subject to several Electronic Letters of Authority (eLAs), covering income tax only, excluding Value-Added Tax (VAT).

44. Where, in the course of audit, verification, consolidation, or review under the Single Instance Audit Framework, findings of fraud are established or reasonably indicated, all records, documents, and working papers relating to the affected eLAs shall be referred to which appropriate investigating office for further action?
   I - Cases falling within regional jurisdiction shall be referred to the concerned Revenue Region's Regional Investigation Division (RID)
   II - Cases falling within national jurisdiction, or those otherwise requiring national level investigation, shall be referred to the National Investigation Division (NID).
   a. Both I and II are correct
   b. Both I and II are correct
   c. Only I is correct
   d. Only II is correct

45. Which of the following statements is incorrect?
    a. A consolidated replacement eLA shall be issued to cover all applicable internal revenue tax types for the taxable year concerned and shall be mandatorily conducted by the Revenue District Office (RDO) or Office Audit Section (OAS) Assessment Divisions for Regional cases and Large Taxpayers (LT) Audit Divisions for Large Taxpayers Service (LTS) cases.
    b. The OAS current threshold specified under existing issuances shall be maintained unless revised or amended via separate revenue issuance.
    c. All eLAs subsumed in the consolidated eLA shall not be cancelled upon issuance of the replacement eLA.
    d. The replacement eLA shall constitute the sole and continuing audit authority for the taxable year concerned.

46. First statement: To ensure objectivity and integrity in the initiation of audits, the issuance of new eLAs shall be governed by system-assisted taxpayer selection, based on defined criteria and subject to centralized approval.

    Second statement: As a matter of policy, all taxpayers are generally considered potential taxpayers for audit and assessment under existing laws and issuances.

    a. Both statements are correct
    b. Both statements are incorrect
    c. Only the first statement is correct
    d. Only the second statement is correct

47. First statement: All existing LOAs issued under Run After Fake Transactions (RAFT) Task Force are hereby cancelled for purposes of transition and replacement only, to allow for the issuance of new eLAs by the appropriate regular offices, in accordance with existing laws and issuances.
    Second statement: All RAFT cases, including all notices, letters, records, working papers, audit notes, electronic files, and other related materials, shall be immediately turned over to the NID for appropriate action.

    a. Both statements are correct
    b. Both statements are incorrect
    c. Only the first statement is correct
    d. Only the second statement is correct

INCOME TAXATION

48. Denzell Wetta, an American management expert is hired by a Philippine corporation to assist in its organization and operation for which he has to stay in the Philippines for 5 months. He came to the Philippines for this definite purpose but the nature of his job may require him to extend his stay and live temporarily in the Philippines. The American management expert intends to leave the Philippines as soon as his job is done.
    For income tax purposes, the American management expert shall be classified as a:
    a. resident alien.
    b. nonresident alien engaged in trade or business.
    c. nonresident alien not engaged in trade or business.
    d. resident citizen.

49. Palito Lippi, an American singer, was engaged to sing for one week at the Sofitel Philippine Plaza after which he returned to the USA. For income tax purposes, Palito Lippi should be classified as:
    a. resident alien.
    b. nonresident alien engaged in trade or business.
    c. nonresident alien not engaged in trade or business.
    d. resident citizen.

50. A nonresident alien individual who shall come to the Philippines and stay therein for an aggregate period of more than 180 days during the calendar year shall be deemed a "nonresident alien doing in the Philippines":
    a. regardless of whether or not he is actually engaged in business in the Philippines.
    b. only when he is actually engaged in business in the Philippines.
    c. when his income does not come from the performance of personal services in the Philippines.
    d. when he comes to the Philippines for a definite purpose which in its nature would require an extended stay and to that end makes his home temporarily in the Philippines, although it may be his intention at all times to return to his domicile abroad.

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51. Which of the following individual taxpayers is taxed on income from sources within and without the Philippines?
    a. A citizen of the Philippines residing therein.
    b. A non-resident citizen.
    c. An individual citizen of the Philippines who is working and deriving income abroad as an overseas contract worker.
    d. An alien individual, whether a resident or not of the Philippines.

52. A corporation organized in the Philippine or under its laws is a:
    a. domestic corporation.
    b. resident foreign corporation.
    c. non-resident foreign corporation.
    d. special corporation.

53. The term applies to a foreign corporation engaged in trade or business within the Philippines.
    a. Resident foreign corporation
    b. Nonresident foreign corporation
    c. Multinational corporation
    d. Petroleum contractor

54. The term applies to a foreign corporation not engaged in trade or business within the Philippines.
    a. Resident foreign corporation
    b. Nonresident foreign corporation
    c. Multinational corporation
    d. Petroleum contractor

55. Which of the following corporations shall be taxed upon its taxable income derived during each taxable year from all sources within and without the Philippines?
    a. Domestic corporation
    b. Resident foreign corporation
    c. Nonresident foreign corporation
    d. None of the choices

56. A resident citizen has the following items of income for the year ending 2024:

		net of VAT
Gross sales of goods, including VAT	P11,200,000	10M
Gross sales from practice of profession, excluding VAT	5,000,000	5M
Interest income from Philippine bank deposit	500,000	15M
Compensation income from employment	800,000	
Amount received as donation from parents	100,000	

For purposes of classification of individuals under Ease of Paying Tax (EOPT), how much is the gross sales?

    a. P17,600,000
    b. P16,400,000
    c. P16,300,000
    d. P15,000,000

Total Sales, net of VAT with no deductions

57. Using the same data in the preceding number, the taxpayer shall be classified as:
    a. Micro taxpayer
    b. Small taxpayer
    c. Medium taxpayer
    d. Large taxpayer

<3M - Micro
<20M - Small
<1B - Medium
≥1B - Large

58. The term means the pertinent items of gross income specified in the Tax Code, less the deductions and/or personal and additional exemptions, if any, authorized for such types of income by the Tax Code or other special laws.
    a. Gross income
    b. Taxable income
    c. Net assets
    d. None of the choices

59. One of the following is not a requisite of a taxable income.
    a. There must be gain.
    b. The gain must be realized or received.
    c. The gain must not be excluded by law from taxation.
    d. The gain must be that of resident or nonresident citizen.

60. *First statement:* Compensation may be paid in money or in some medium other than money, as for example, stocks, bonds or other forms of property.
Second statement: Where compensation is paid in property other than money, the employer shall make necessary arrangements to ensure that the amount of the tax required to be withheld is available for payment to the Commissioner.
    a. Only the first statement is correct
    b. Only the second statement is correct
    c. Both statements are correct
    d. Both statements are incorrect

61. *First statement:* Tax-free income is not to be included in the income tax return unless information regarding it is specifically called for.
Second statement: While exclusions are simply not taken into account in determining gross income, deductions are subtracted from gross income to arrive at net income.
    a. Both statements are correct.
    b. Both statements are incorrect.
    c. Only the first statement is correct.
    d. Only the second statement is correct.

62. The widow of your best friend has just been paid P1,000,000 on account of the life insurance policy of the deceased husband. She asks you whether she shall declare the amount for income tax purposes or for estate tax purposes.
First advice: The proceeds of the life insurance paid to the beneficiary upon the death of the insured are exempt from income tax and need not be declared for income tax purposes.
Second advice: The proceeds of life insurance will have to be declared for estate tax purposes if the designation of the beneficiary is revocable, otherwise, they need not be declared.

    a. Both advices are right.
    b. First advice right; second advice wrong.
    c. Both advices are wrong.
    d. First advice wrong; second advice right.

63. One of the following is subject to income tax:
    a. Income from a donated property derived from its investment or sale.
    b. Alimony or amount of principal paid under a marriage settlement.
    c. Value of property received as gift, or under a will or testament, or through legal succession.
    d. Participating dividends in insurance.

64. *First statement:* The law does not require that the 10-year requirement for tax-exempt retirement benefits should be uninterrupted.
Second statement: The tax-exempt retirement benefits shall be availed of by the official or employee only once.
    a. Both statements are correct.
    b. Both statements are incorrect.
    c. Only the first statement is correct.
    d. Only the second statement is correct.

65. First *statement:* A taxpayer can deduct an item or amount from the gross income only if there is a law authorizing such a deduction.
Second statement: For income tax purposes, a taxpayer is free to deduct from the gross income the full amount or a lesser amount of the deduction allowed or not claim any deduction at all.
    a. True, True
    b. False, False
    c. True, False
    d. False, True

66. In cases of deductions and exemptions on income tax returns, doubts shall be resolved:
    a. strictly against the taxpayer.
    b. strictly against the government.
    c. liberally in favor of the taxpayer.
    d. liberally in favor of the employer.

67. One of the following is not a requisite for the deductibility of business expenses.
    a. The expenses are ordinary and necessary.
    b. The expenses are paid or incurred during the taxable year.

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c. The expenses are directly attributable to the development, management, operation and/or conduct of the trade, business or exercise of profession.
d. As long as business related, the expenses do not necessarily have to be substantiated with sufficient evidence, such as official receipts or other adequate records. must be fully substantiated!

68. A business partnership leased a condominium unit in Makati for use as its office. The contract was properly classified as a capital lease. It paid P50,000 monthly to the condominium owner. For income taxation, the monthly payment was:
a. deductible as rent expense.
b. deductible as payment of amortization.
c. not deductible because the taxpayer was taking title and would become the owner of the condominium unit.
d. not deductible because the payment was not reasonable.

69. One of the following is not deductible from the gross income of the employer.
a. De minimis benefits given to employees
b. Fringe benefits given to rank and file
c. Employer's SSS, GSIS, Philhealth, HDMF and other contributions
d. Cost of advertising to influence legislation

70. In lieu of the itemized deductions, an individual subject to tax under Section 24, other than a nonresident alien, may elect a standard deduction in an amount not exceeding:
a. ten percent (10%) of his gross income.
b. twenty percent (20%) of his gross sales or gross receipts.
c. forty percent (40%) of his gross income. corporation
d. forty percent (40%) of his gross sales or gross receipts.

71. The taxable income shall be computed on the basis of the calendar year under which of the following?
I - If the taxpayer's annual accounting period is other than a fiscal year
II - If the taxpayer has no annual accounting period, or does not keep books
III - If the taxpayer is an individual

a. I, II and III
b. I and II only
c. II and III only
d. III only

72. Which one of the following is not an essential of an acceptable accounting method?
a. There should be distinction between revenue and capital expenditures.
b. Expenses to restore property or prolong its useful life should be added to the property account or charged against depreciation.
c. In all cases in which production, purchase or sale of merchandise is an income producing factor, inventories at the beginning and at the end of the accounting period should be considered.
d. The accounting method should adhere strictly to generally accepted accounting principles.

73. First statement: Monetized unused vacation and ~~sick leave~~ credits of private employees shall not exceeding twelve (12) days during the year. unused vacation leaves only for private employees!

Second statement: Monetized value of vacation and sick leave credits paid to government officials and employees shall not exceed twelve (12) days during the year. unlimited. bakit? conversion is at the time of retirement kasi
a. Both statements are correct
b. Both statements are incorrect
c. Only the first statement is correct
d. Only the second statement is correct.

74. Micro and Small Taxpayers are allowed additional deductions from taxable income:
a. 100% of the total cost for setting up an electronic sales reporting system
b. 50% of the total cost for setting up an electronic sales reporting system
c. 40% of the total cost for setting up an electronic sales reporting system
d. 25% of the total cost for setting up an electronic sales reporting system

75. Domestic corporations and Resident Foreign Corporations classified as RBEs under the Enhanced Deduction Regime (EDR) shall be subject to what corporate income tax rate?
a. 30%
b. 25%
c. P20%
d. 15%

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76. Input tax paid on local purchases attributable to VAT-exempt sales is:
    a. deductible from the gross income of the taxpayer.
    b. not deductible from the gross income of the taxpayer.
    c. deductible from output tax of the taxpayer.
    d. Refundable by the taxpayer.

77. The yield or income from the ABS shall be subject to a:
    a. 25% final withholding tax.
    b. 20% final withholding tax.
    c. 10% final withholding tax.
    d. 5% final withholding tax.

SITUATIONAL
In 2022, Mr. Kris Manuel owns a nightclub and videoke bar, with gross sales/receipts of P2,500,000.00. His cost of sales and operating expenses are P1,000,000.00 and P600,000.00, respectively.

cannot avail 8% income tax option:
1. VAT-reg
2. subject to OPT except under Sec 116
3. partners of GPP by distributive share from GPP which is ALREADY NET of cost and expenses.

78. Can the taxpayer avail of the 8% income tax rate?
    a. Yes. Because his gross receipts do not exceed the VAT threshold.
    b. No. Because he is subject to percentage tax under Sec. 125.
    c. Yes. Because night club and videoke bar owners are always allowed to avail of the 8% income tax rate.
    d. No. Because he did not express his intention to be taxed at 8%.

79. How much is the income tax due?
    a. P200,000
    b. P198,000
    c. P190,000
    d. P160,000

Taxable income=900k
(use old graduated income tax table to get 160k)

80. How much is the percentage tax due?
    a. P750,000
    b. P450,000
    c. P375,000
    d. P250,000

2,500,000 x 18% = 450,000

81. Foreign nationals or non-Filipino citizens, regardless of their residency, term and class of working or employment permit or visa, who are employed and assigned in the Philippines by an Offshore Gaming Licensee (OGL) or its Accredited Service Provider shall have Taxpayer Identification Number (TIN) and shall be subject to a:
    a. final withholding tax of 25% on their gross income. before: exempt sila
    b. creditable withholding tax of 25% on their gross income.
    c. final withholding tax of 20% on their gross income.
    d. creditable withholding tax of 10% on their gross income.

82. One of the following can avail of the 8% income tax rate option:
    a. VAT-registered seller of goods ×
    b. Taxpayer subject to franchise tax under Section 119 ×
    c. Partners of general professional partnerships ×
    d. Taxpayer subject to Percentage Tax on VAT-exempt persons (Sec. 116)

83. The surcharge of 50% on the amount due shall be imposed where there is:
    a. failure to file any return and pay the tax due thereon.
    b. filing of return with an internal revenue officer other than those with whom the return is required to be filed.
    c. failure to pay the deficiency tax on time as indicated in the notice of assessment.
    d. failure to file a return on time due to willful neglect.

84. Under the NIRC, what are the rates of surcharges?
    a. 20%/25%
    b. 25%/50%
    c. 10%/20%/50%
    d. 10%/25%/50%

85. Which of the following statements is the most accurate about the imposition of 10% surcharge:
    a. This surcharge may be imposed against micro taxpayers on instances where the 25% surcharge would otherwise be imposed.
    b. This surcharge may be imposed against micro and small taxpayers on instances where the 25% surcharge would otherwise be imposed. micro and small only.

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c. This surcharge may be imposed against micro taxpayers on any violations of the NIRC, regardless of whether the surcharge is originally at 25% or 50%.
d. This surcharge may be imposed against micro and small taxpayers on any violations of the NIRC, regardless of whether the surcharge is originally at 25% or 50%.

86. Nippon Corporation a non-resident corporation organized under and by virtue of the laws of Japan, deposited US$4,000,000 at Bank of Philippines Islands, Makati City. The interest income from the said deposit shall be subject to:
a. 25% final withholding tax
b. 20% final withholding tax
c. 15% final withholding tax
d. 0% final withholding tax

EFCDS
Residents - 20% (under CMEPA) before: 15%
Non-residents- exempt

87. The "tax sparing principle" which entitles the taxpayer of a preferential tax rate of only 15% on the dividends received from a domestic corporation may be applied to:
a. domestic corporation
b. resident foreign corporation
c. non-resident foreign corporation
d. non-corporate taxpayers

DC to NRFC (dividends)
w/ tax sparring - 15% (silent) ✓
w/o tax sparring - 25%

88. Which of the following de minimis benefit shall no longer within the purview of a de minimis benefit if it exceeds the limit and shall be treated as other benefits in full?
a. Medical benefits given to the employees by the employer
b. Benefits received by an employee by virtue of a collective bargaining (CBA) and productivity incentive schemes
c. Uniforms and clothing allowance given to employees by the employer
d. Gifts given during Christmas and major anniversary celebrations

89. Which of the following revenue constitutes the "Gross Philippine Billings" of a resident foreign corporation operating as an international air carrier? 2.5%
a. Revenue on flight from the United States to the Philippines, tickets sold in the Philippines
b. Revenue on flight from the Philippines to Japan, tickets sold in Japan
c. Revenue on flight from Hongkong to South Korea (flight originated from the Philippines with transshipment at Hongkong), tickets sold in the Philippines
d. Revenue on a return flight from Singapore to the Philippines, round-trip ticket sold in the Philippines

SITUATIONAL

The following were taken from the Statement of Income and Expenses of ABC Corporation for the taxable year 2021:

	Gross profits from sales			P800,000
	Less: Business expenses		440,000	
	Provision for bad debts NDE		80,000	
	Write-off of inventories lost due to spoilage NDE		20,000	540,000
	Net income from operation	dapat makita ni BIR na destroyed na ang spoiled goods bago i-avail ang deduction		260,000
	Add: Other income			
NTI	Dividend income from a domestic corporation		50,000 intercorporate dividend	
NTI	Interest on Philippine bank peso deposit		30,000	80,000
	Net income			P340,000

Financial NI	340k
+NDE (80+20+30)	130k
-NTI (FWT: 50+30)	(80k)
Write Off	~~(50k)~~
Net Taxable Income	340k

Additional information:
1) Accounts written off during the year and charged to allowance for bad debts, P50,000;
2) Recoveries on accounts receivable previously written off in 2020 and credited to allowance for bad debts:
Allowed as deduction by BIR, P30,000; NDE
Disallowed as deduction by BIR, P20,000.

90. How much is the total non-deductible expenses/taxable other income?
a. P410,000
b. P130,000
c. P110,000
d. P100,000

91. How much is the non-taxable income and income subject to final tax?
a. P130,000
b. P100,000
c. P80,000
d. P30,000

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92. How much was the taxable net income using Reconciliation Net Income Per Books Against Taxable Income?
    a. P340,000 c. P390,000
    b. P370,000 d. P440,000

93. (Income Taxation) GCC Corporation, a domestic corporation, owns 20% of the outstanding shares of BTS Corporation, a non-resident foreign corporation (NRFC), since August 1, 2015. On May 1, 2021, it received dividends amounting to P1,000,000 from the said NRFC. On September 1, 2022, GCC Corporation utilized P800,000 for its dividend payments. On January 1, 2023, it utilized the remaining P200,000 for its working capital.

Dividend: NRFC to DC

GR: Taxable
XPN: SHoRe requirement
Significant influence ✓
Holding period (2 years) ✓
Reinvestment w/in next year ✓

How much is tax-exempt dividend?
    a. P1,000,000 c. P200,000
    b. P 800,000 d. None of the choices

si 800k lang ang nag-meet sa SHoRe requirement
na-utilize for the 2 years kaya 800k lang din ang exempt. 200k is taxable na

SITUATIONAL
Jose Cruz sold a painting (capital asset) which he purchased in 2020 at a cost of P30,000. He sold the painting to Pedro Santos, on the following terms:
casual sale of PP

June 1, 2023 down payment	P10,000
August 1, 2023 installment due	10,000
October 1, 2023 installment due	20,000
October 1, 2024 installment due	40,000
October 1, 2025 installment due	40,000

cannot avail installment kasi >25% ang initial payments and SP.

SP	120K
Cost	(30k)
Capital Gain	90k
Holding p.	50%
Income ('23)	45k

94. For the year 2023, Jose Cruz will report a gross income of:
    a. P90,000 c. P30,000
    b. P45,000 d. P15,000

95. Assuming Jose Cruz is a dealer in paintings, how much will he report as gross income for 2023?
    a. P15,000 c. P45,000
    b. P30,000 d. P90,000

always allowed ang installments kahit >25% sa SP kasi DEALER sya + personal property/inventory

40k x (90k/120k) = 30k

no more holding period. Holding period only applies kapag capital asset and individual ang nagsell.

96. (Income Taxation) A domestic corporation has the following data for three (3) years:

	Normal income tax	MCIT	excess MCIT	
2023	P 50,000	P 75,000✓	25k	can be carried over until 2025
2024	P 60,000	P100,000✓	40k	can be carried over until 2026
2025	P100,000✓	P 60,000		

How much is the tax payable in 2025?
    a. P100,000 c. P35,000
    b. P 60,000 d. Zero

Tax due 2025	100k
excess MCIT	
2023	(25k)
2024	(40k)
Tax payable	35k

97. (Income Taxation) With the following data, how much is the deductible pension/retirement plan contribution for 2022?

Pension/retirement plan contribution (2020)	P500,000
Pension/retirement plan contribution (2021)	P500,000
Pension/retirement plan contribution (2022)	P500,000

The breakdown of the P500,000 per actuarial valuation:

Normal cost full	P400,000	400k
Past service cost amortized over 10 years	100,000	/10 yrs= 10kx3=30k
Total	P500,000	430k

    a. P500,000 c. P420,000
    b. P430,000 d. P400,000

3 years amortization na from 2020 to 2022 kaya 10k x 3

98. (Income Taxation) As a general rule, proceeds of insurance are not taxable because they only constitute a return of what was lost (return of capital). Which of the following are taxable proceeds?
    a. Proceeds of life insurance
    b. Proceeds of accident or health insurance
    c. Proceeds of property insurance
    d. Proceeds of crop insurance. secures future income

99. (Income Taxation) Under Republic Act No. 11976 (Ease of Paying Tax Act), the repeal of Section 34 (K) which is an additional requirement for deductibility of certain payments applies to:
    a. micro and small taxpayers only.
    b. medium and large taxpayers only.
    c. large taxpayers only
    d. All taxpayers regardless of classification

100. (Income Taxation) Under EOPT Act, filing of returns in a wrong venue no longer subjects such violation to 25% surcharge if it involves:
    a. micro and small taxpayers only.
    b. medium and large taxpayers only.
    c. large taxpayers only.
    d. all taxpayer regardless of the classification.

101. (Income Taxation) Under EOPT Act, the 10% reduced surcharge for micro and small taxpayers does not apply when there is:
    a. failure to file any return and pay the tax due thereon as required under the provisions of the Tax Code or rules and regulations on the date prescribed.
    b. failure to pay the deficiency tax within the time prescribed for its payment in the notice of assessment.
    c. failure to pay the full or part of the amount of tax shown on any return required to be filed under the provisions of the Tax Code or rules and regulations, or the full amount of tax due for which no return is required to be filed, on or before the date prescribed for its payment.
    d. willful neglect to file the return within the period prescribed by the Code.

102. (Income Taxation) When does the obligation to withhold arise?
    a. at the time an income payment is paid
    b. at the time an income payment is payable
    c. at the time an income payment is paid or payable, whichever comes first
    d. at the time an income payment is paid or payable, or the income payment is accrued or recorded as an expense or asset, whichever is applicable, in the payor's books, whichever comes first applied rule before EOPTA

103. (Income Taxation) La Voix Company paid the salaries of its employee, Kyran, without deducting the corresponding withholding tax. Kyran has no other source of income other than her employment with La Voix Company. Which of the following statements is true:
    Statement 1: La Voix Company cannot deduct the salary paid to Kyran against its gross income.
    Statement 2: Kyran should file her income tax return to declare the compensation income she received from La Voix Company
    a. Both statements are correct
    b. Both statements are incorrect
    c. Only the first statement is correct
    d. Only the second statement is correct.

104. How long should books of accounts be kept?
    a. Five (5) years reckoned from the date of filing or the deadline, whichever is later, in either physical or soft copies.
    b. Five (5) years reckoned from the date of filing or the deadline, whichever is later, in both physical and soft copies.
    c. Ten (10) years reckoned from the date of filing or the deadline, whichever is later, in both physical and soft copies.

105. An invoice is required to be issued if the amount of the transaction is at least:
    a. P10.
    b. P25.
    c. P100.
    d. P500. for non-VAT.

VAT-reg-- need to issue invoice regardless of amount of transaction

106. What is the formula to compute capital gains tax on real property?
    a. 6% of the zonal value or assessed value, whichever is higher.
    b. 6% of the zonal value, assessed value, or the selling price, whichever is the highest. before RPVARA
    c. 6% of the zonal value, appraised value, or the selling price, whichever is the highest.
    d. 6% of the fair market value in accordance with the SMV or the selling price, whichever is higher. under RPVARA (7/3/2024)

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107. (Income Taxation) On August 11, 2018, an individual taxpayer not engaged in real estate business acquired a parcel of land which would be used as a site for office building for P3,000,000. Unfortunately, the planned office building was not built due to financial problem that hounded the taxpayer. The land was idle up to August 11, 2022. The taxpayer presented a proof to the BIR that the land had not been used in business since its acquisition. Subsequently, the land was sold by the taxpayer for P5,000,000 on September 5, 2022.

Ordinary assets IDLE FOR MORE THAN 2 YEARS, considered capital asset na. kaya subject na ang sale to CGT

What was the tax consequence of the sale?
a. There was taxable gain of P2,000,000 which would be subject to Section 24 (A). if ordinary asset
b. The sale would be subject to 6% capital gains tax based on the selling price.
c. The sale would be exempt from tax because the property was not used for business.
d. The gain of P2,000,000 will be subject to 6% capital gains tax.

108. Income payments made by any of the top withholding agents, including non-resident aliens engaged in trade or business in the Philippines, shall be subjected to which of the following withholding tax rates:
A. Supplier of goods - One percent (1%)
B. Supplier of services - Two percent (2%)

a. Both A and B
b. Neither A nor B
c. A only
d. B only

109. A private entity, which enters into an agreement with a public school to provide assistance (Adopting Private Entity) shall be entitled to which of the following tax exemptions and incentives:
A. Deduction from the gross income of the amount of contribution/donation that were actually, directly and exclusively incurred for the program, subject to limitations, conditions and rules set forth in Section 34(H) of the Tax Code plus an additional amount equivalent to fifty percent (50%) of such contribution/donation.
B. Exemption from donor's tax

a. Both A and B
b. Neither A nor B
c. A only
d. B only

110. Which of the following exemptions/incentives are granted to Technical-Vocational Institutions (TVIs) implementing a registered Enterprise-Based Education and Training (EBET) Framework under RA No. 1206?
A. Additional deduction from taxable income equivalent to 50% of actual training expenses from the effectivity of RA No. 12063 up to December 31, 2027
B. Exemption from donor's tax and allowance as deduction from gross income of donor the donations, contributions, bequests, subsidies, or financial aid actually paid or made to a TVI implementing theoretical instructions for EBET Programs within the taxable year.

a. Both A and B
b. Neither A nor B
c. A only
d. B only

111. A Retirement Plan which is duly approved by the Bureau of Internal Revenue ("BIR") through the Commissioner of Internal Revenue ("Commissioner") or his authorized representatives, and was issued a certificate of tax qualification for tax exemption ("Tax Qualified Plan") are entitled to which of the following tax incentives or privileges?
A. Exemption from income tax and, consequently, from withholding tax, of the retirement benefits and all amounts received by officials and employees of private firms on account of their retirement ("Retirement Benefits");
B. Exemption from income tax and, consequently, from withholding tax, of the trust income from various investments made by the trustees of an employee's trust under Section 60(b) of the Tax Code, without prejudice to the investment limitations under Section 8 of the Regulations.
C. Tax deductibility of the following contributions made by employers from its gross income pursuant to Section 34(J) of the Tax Code.

a. A, B and C
b. A and B only
c. A and C only
d. A only

TRANSFER TAXES

112. The gross estate of a decedent consists of registered and registrable properties valued at P5,000,000. Which of the following statements is/are correct?
   I - The estate of the decedent is required to submit notice of death.
   II - The estate of the decedent is required to file an estate tax return.
   III - The estate of the decedent is required to submit a statement certified by a CPA.

   a. Statements I, II and III
   b. Statements II and III
   c. Statement II
   d. None of the statements

SITUATIONAL
The decedent is a married man with a surviving spouse (under conjugal partnership of gains) with the following data died on February 1, 2021:

Real properties received by decedent as inheritance during the marriage (including land valued at ~~P200,000~~ transferred *inter vivos* by decedent to a son)	9.8M P10,000,000	E
Personal properties acquired during the marriage using common fund (including car valued at P1,800,000 acquired for the exclusive use of the surviving spouse) doesn't matter under CPOG	6,000,000	C
Personal properties received as gift by the surviving spouse during the marriage exclusive ni SS	× 5,000,000	
Exclusive family home	5,200,000	E
Conjugal deductions claimed (including funeral expenses amounting to ~~P200,000~~; judicial expenses amounting to ~~P300,000~~ and medical expenses amounting to ~~P100,000~~)	2M 2,600,000	
Exclusive deductions claimed (including unpaid mortgage of ~~P500,000~~ on the personal properties received as gift by the surviving spouse during the marriage)	2M 2,500,000	E

exclusion ni SS

113. What amount shall be reflected as Net taxable estate?
   a. P10,900,000
   b. P 8,800,000
   c. P6,800,000
   d. P4,800,000

GE after OD	17M	
SD- FH	(5.2M)	
	(5M)	
Share of SS	(2M)	4M/2
NTE	4.8M	
	x 6%	
ETD	288k	

114. What amount shall be reflected as Estate tax due?
   a. P654,000
   b. P528,000
   c. P408,000
   d. P288,000

SITUATIONAL
On January 15, 2022, Daisy gave a piece of land to her brother-in-law who is getting married on February 14, 2022. The assessed value and zonal value of the land were ~~P750,000~~ and P1,000,000 respectively. It was acquired by Daisy at a cost P1,500,000 in 2018. An adjacent lot to the donated property was valued at ~~P2,000,000~~. The land given as a gift had an unpaid mortgage of P200,000, which was assumed by the donee and an unpaid realty tax of P10,000 which was also assumed by the donee. The donor and the donee agreed that the latter will assume the donor's tax amounting to P33,000.

Daisy donated other properties to her sister and brother on March 15, 2022. Gift to sister had a zonal value of P500,000 and an assessed value ~~P300,000~~. Gift to brother was cash P300,000 of which she specially provided that 10% of the gift should be given to the church where Daisy was a member.

115. What amount shall be shown as Total net gift subject to tax?
   a. P1,590,000
   b. P1,560,000
   c. P1,310,000
   d. None

TGITR	800k	
Ded	(30k)	300k x 10%
TNGITR	770k	
TPNG-CY	790k	1M-200k-10k
TNG	1.56M	
exempt	(250k)	
TNGSTT	1.31M	

116. What amount shall be shown as Tax payable?
   a. P95,400
   b. P93,600
   c. P78,600
   d. P46,200

770k x 6% = 46.2k

do this shortcut if na-consume na lahat ng 250k deduction this year.

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117. Mr. Julian Cruz procured a life insurance upon his own life. He designated his estate's executor as an irrevocable beneficiary. For estate tax purposes, the proceeds of life insurance is:
   a. included in the gross estate of Mr. Julian Cruz because when the executor of the estate is a beneficiary the proceeds are included in the gross estate regardless of the designation.
   b. not included in the gross estate of Mr. Julian Cruz because the designation of the beneficiary is irrevocable.
   c. included in the gross estate of Mr. Julian Cruz because proceeds of life insurance are always subject to estate tax.
   d. not included in the gross estate because, as a rule, proceeds of life insurance are generally not subject to estate tax.

118. (Phil. CPA) The following are the requisites in order for claims against the decedent's estate to be deductible, except which one?
   a. They must be existing against the estate.
   b. They must be reasonably certain as to amount.
   c. They must have been prescribed.
   d. They must be enforced by the claimant.

119. Which of the following statements is incorrect? A claim against an insolvent person, which is not collectible in full:
   a. is included in the gross estate.
   b. is not included in the taxable net estate.
   c. must be notarized if arising out of a debt instrument of the insolvent. this applies to claims against the estate only.
   d. needs no preliminary filing of a case against the insolvent.

120. Kenneth sold a residential lot for P1,500,000. The fair market value of the residential lot at the time of sale was P2,000,000. The sale of property was made in the ordinary course of business which was a *bona fide* transaction, at arm's length, and was free from any donative intent.

   How much was the donor's tax due?
   a. P120,000.00
   b. P 90,000.00
   c. P30,000.00
   d. None, not subject to donor' s tax.

121. (Phil. CPA) The common characteristic of transfer taxes is the transfer of property:
   a. is onerous.
   b. takes effect during the lifetime of the transferor.
   c. takes effect upon the death of the transferor.
   d. is gratuitous.

donation must take place in PH bago masubject sa DT

122. Mr. Bill Morgan, a Canadian citizen and a resident of Scarborough, Ontario, sends a gift check of $20,000 to his future daughter-in-law who is to be married to his only son in the Philippines. Is the donation subject to Philippine donor's taxes?
   a. Yes, but only up to extent that exceeds the allowable P250,000.00 exemption for donations.
   b. Yes. There is no showing in the problem that the marriage actually took place within one (1) year from the date of the donation
   c. No. The donor is a non-resident alien hence he is not subject to the Philippine donor's tax law.
   d. No. The donation took place outside the Philippines hence not subject to the Philippine donor's tax law.

123. Mr. Nat Tigok, Filipino citizen, died abroad leaving the following properties: house and lot in Texas, USA; shares of stock in San Miguel Corporation and PHILEX, both local companies; bank deposits in New York City and in the Bank of the Philippine Islands in Makati; a Toyota Camry sedan registered in the name of his son aged 21 years. He was buried in Manila and expenses were incurred to bring the remains home and for his funeral. Which among the above properties should be excluded from his estate tax return?
   a. The house and lot in Texas, USA
   b. The shares of stock in San Miguel Corporation
   c. The bank deposits in New York City
   d. The Toyota Camry sedan

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124. The following donations are made to relatives and strangers:

January 30, 2021	P2,000,000
March 30, 2021	1,000,000
August 15, 2021	500,000
September 20, 2022	600,000

How much is the donor's tax payable on the gift made on September 20, 2022?

a. P36,000
b. P30,000
c. P21,000 600-250x6%= 21k
d. P20,000

you cannot apply the shortcut here kasi first donation of the year 2022 happened on September, gagamitin mo pa lang ang 250k. be mindful sa dates given!

BUSINESS TAXES

125. Under EOPT, in the case of sales in the amount of ₱1,000 or more where the sale or transfer is made to a VAT-registered person, which information pertaining to purchaser, customer or client is no longer required to be shown?

a. the name
b. business style
c. address
d. Taxpayer Identification Number (TIN)

126. Under EOPT, a VAT-registered person shall issue for every sale, barter, exchange, or lease of goods or properties, and for every sale, barter or exchange of services.

a. VAT invoice primary document
b. VAT official receipt supplementary nalang
c. either a or b
d. neither a nor b

127. In order for output VAT credit to be claimed:

a. The deadline for the payment of the receivable must have lapsed
b. The deadline for the payment of the receivable must have lapsed for 30 days.
c. The receivable must have been actually ascertained to be worthless and uncollectible.
d. The receivable must be collectible from a debtor who is declared insolvent.

128. Gross sales is the appropriate VAT base for:

A. Sale of services.
B. Sale of goods.

a. Both A and B
b. Neither A nor B
c. A only
d. B only

129. Which of the following milling job shall not be exempt from VAT?

a. palay into rice
b. corn into corn grits
c. wheat into flour
d. sugarcane into raw sugar

130. A lessor, not VAT-registered, rents his 5 commercial and 20 residential units for monthly rent of P50,000 and P15,000 per unit, respectively. His accumulated gross receipts during the taxable year amounted to:

Rent from 5 commercial units (P50,000 per unit x 12)	P3,000,000	3% OPT since di lumagpas 3M
Rent from 20 residential units (P15,000 per unit x 12)	3,600,000	
Aggregate gross receipts exempt na regardless of total gross receipts	P6,500,000	

What will be the business taxes consequences?

a. Both will be subject to VAT because the aggregate gross receipts exceed the VAT threshold.
b. Both will be exempt from VAT because rent from commercial units did not exceed the VAT threshold and rent from residential units shall be exempt regardless of the gross annual receipts.
c. Only the rent from commercial units shall be subject to VAT
d. Only the rent from residential units shall be subject to VAT because it exceeded the VAT threshold.

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SITUATIONAL
A taxpayer is engaged in VAT-subject transactions but his annual gross sales do not exceed the VAT threshold. Hence, he did not register under VAT system. However, during 2022, his quarterly gross sales follow:

First quarter	P1,000,000
Second quarter	1,000,000
Third quarter	1,000,000
Fourth quarter	1,000,000

131. How much is the total percentage tax due for the first three (3) quarters?
   a. P480,000
   b. P120,000
   c. P90,000
   d. P30,000 first 3 quarters- OPT 3%

132. How much is the VAT due?
   a. P480,000
   b. P120,000
   c. P90,000 quarter 4 - VAT (1Mx12%)
   d. None of the choices

SITUATIONAL
An operator of domestic common carrier by land, not VAT-registered, presented the following data for the first calendar quarter of the year 2022. His VAT-subject gross receipts do not exceed the VAT threshold in any given year.

Gross receipts transport of passengers by land CCT	P 3,500,000
Gross receipts transport of goods	500,000 OPT
Gross receipts transport of cargoes	200,000 OPT
Cost of services, transport of passenger	800,000
Cost of services, transport of goods and cargoes	300,000
Operating expense, transport of passenger	100,000
Operating expenses, transport of goods and cargoes	50,000

133. How much is the common carrier's tax?
   a. P105,000
   b. P70,000
   c. P35,000
   d. None

134. How much is the output VAT?
   a. P180,000
   b. P120,000
   c. P60,000
   d. Exempt from VAT not VAT-reg. di rin lumagpas ng 3M ang gross receipts transport of goods and cargoes

135. How much is the percentage under Sec. 116?
   a. P21,000
   b. P14,000
   c. P7,000
   d. None

136. Can the taxpayer avail of the 8% income tax rate?
   a. Yes. Because his total gross receipts do not exceed the VAT threshold as long as he signifies his intention when he files his first quarter return.
   b. No. Because he is VAT-registered and therefore not qualified to avail of the 8% income tax rate.
   c. Yes. Because taxpayers with various business is qualified as long as he signifies his intention when he files his first quarter return.
   d. No. Taxpayers who are subject to Other Percentage Taxes, except those under Section 116 are not qualified to avail of the 8% income tax option.

137. If the taxpayer avails of the 8% tax on his gross receipts how much is the percentage under Sec. 116 due and payable for the quarter
   a. P21,000
   b. P14,000
   c. P7,000
   d. None

138. When shall the Percentage Tax Return be filed?
   a. April 25, 2022 BIR form 2551Q
   b. April 24, 2022
   c. April 21, 2022
   d. April 20, 2022

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SITUATIONAL
ABS-GMA, VAT-registered, is a radio-TV broadcasting franchise grantee. The previous year, its gross receipts did not exceed P 10,000,000. In the first quarter of the year 2022, it had the following data:

Gross receipts, sale of airtime	P 2,000,000
Payments received from user of radio station's communications facilities for overseas communications OCT	500,000
Rentals of office spaces	3,500,000
Business expenses	700,000

139. How much was the overseas communications tax?
   a. P250,000
   b. P200,000
   c. P75,000
   d. P50,000 500k x 10%

140. How much is output VAT, if any?
   a. P720,000
   b. P660,000 2M+3.5M=5.5M x 12%
   c. P420,000
   d. None

141. When shall the overseas communications tax be paid?
   a. April 25, 2022
   b. April 20, 2022
   c. April 15, 2022
   d. Not applicable

142. A non-VAT registered taxpayer who initially opted to avail of the 8% option but has exceeded the VAT threshold during the taxable year, shall be subject to:
   I – 3% percentage tax on the first P3,000,000 under Section 116
   II – Without imposition of any penalty if payment is timely made on the following month when the threshold is breached.
   a. I and II and correct
   b. Only I is correct
   c. Only II is correct
   d. Both and I and II are incorrect

143. Which of the following statements is incorrect?
   a. A zero-rated sale of goods or properties (by a VAT-registered person) is a taxable transaction for VAT purposes, but shall not result in any output tax.
   b. The input tax on purchases of goods, properties or services, related to zero-rated sales, shall be available as tax credit only in accordance with the Regulations.
   c. The input tax on purchases of goods, properties or services, related to such zero-rated sale, shall be available as tax credit or refund in accordance with the Regulations.
   d. Any enterprise whose export sales exceed 70% of the total annual production of the preceding taxable year shall be considered an export-oriented enterprise.

144. Which one of the following is VAT-exempt?
   a. Export sale by a non-VAT person
   b. Foreign currency denominated sale
   c. Sale of services to entities duly registered with PEZA
   d. Sale of services to Ramon Magsaysay Awards Foundation

145. Mr. Juan Cruz, VAT-exempt, issued VAT invoice to Mr. S. Santos, VAT-registered trader. As a consequence:
   A. Mr. Juan Cruz would be liable to percentage tax, VAT, and a surcharge of 50%.
   B. Mr. S. Santos can claim input tax on his purchase provided the requisite information required under the Regulations is shown on the invoice or receipt.
   a. Both A and B are correct
   b. Both A and B are incorrect
   c. Only A is correct
   d. Only B is correct

146. International carriers doing business in the Philippines is subject to the:
   a. 3% percentage tax on gross receipts derived from the transport of cargo and/or mail from the Philippines to another country.
   b. 3% percentage tax on gross receipts derived from the transport of cargo, mail and passenger from the Philippines to another country.
   c. 12% value-added tax on their gross receipts derived from the transport of cargo from the Philippines to another country.
   d. 0% percent value-added tax on their gross receipts derived from the transport of cargo and passenger from the Philippines to another country
   exempt if passengers (PH to another country)

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147. A VAT-registered telephone company provides services for domestic and overseas calls. What business taxes are due from the services offered?
   I - Value-added tax for domestic calls of which the taxpayer is the person using the communications facilities
   II - Overseas communications tax for overseas calls originating from the Philippines of which the taxpayer is the owner of the communications facilities
   a. Yes to I and II
   b. No to I and II
   c. Yes to I only
   d. Yes to II only

148. The lease of property, real or personal, by a bank is subject to:
   a. 5% gross receipts tax.
   b. 7% gross receipts tax.
   c. 12% VAT.
   d. none of the choices.

149. Which of the following items is subject to VAT or percentage tax under Sec. 116 when received by a person engaged in life insurance business?
   a. Investment income realized from the investment of funds obtained from others allowed and approved by the Insurance Commission
   b. Premium on Health and Accident Insurance
   c. Re-issuance fees, reinstatement fees, renewal fees as well as penalties paid to the life insurance company which are incidental to or in connection with the insurance policy contracts issued
   d. Other income earned which can be pursued independently of the insurance business activities

150. A boxing exhibition featuring two (2) Filipino boxers in a Philippine championship is held in a stadium in Pasig. It is promoted by a domestic corporation at least 60% of the stock of which is owned by Filipinos. The following data are presented to you:

Gross receipts	P 5,000,000
Cost of services	3,000,000
Gross income	2,000,000
Less: Expense	(2,500,000)
Net loss	(P500,000)

How much is the amusement tax?
   a. None, because the boxing exhibition resulted in a loss.
   b. None, because the boxing exhibition is exempt from the tax.
   c. P500,000 5M x 10%
   d. P200,000

151. Using the same data in the preceding number and assuming it is a world championship, how much is the amusement tax?
   a. None, because the boxing exhibition resulted in a loss.
   b. None, because the boxing exhibition is exempt from the tax.
   c. P500,000
   d. P200,000

152. Tax on winnings shall be withheld by the operator, manager or person in charge of the horse races before paying the dividends or prizes and shall be remitted to the BIR within how many days from the date the tax was deducted and withheld?
   a. 30 days
   b. 25 days
   c. 20 days
   d. 15 days

153. IAN Importers, not VAT-registered, imported articles whose customs duties were based on their volume. Total landed cost was determined to be P5,000,000 and excise taxes on the said importation amounted to P1,000,000. It eventually sold these articles to Registered Business Enterprise (RBE), and the RBE used it directly and exclusively in its registered activity. How much is the VAT payable on the importation?
   a. P960,000
   b. P720,000 6M x 12%
   c. P800,000
   d. None, importer is not VAT-registered

154. Using the same data in the preceding number, how much is the VAT on sale to an RBE?
   a. P960,000
   b. P720,000
   c. P800.000
   d. Zero, sale to RBE is zero-rated

as long as it is directly attributable to the registered activity (CREATE MORE)
term used under CREATE = directly and exclusively

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155. Where the input tax exceeds the output tax at the end of any quarter, the excess may be claimed as a:
   a. tax refund in the succeeding quarter or quarters.
   b. tax credit in the succeeding quarter or quarter.
   c. either a or b.
   d. neither a nor b.

156. The sales/receipts of GCC for the year are as follows:

From grocery store	P2,000,000	✓
From sale of goods to Asian Development Bank	1,500,000	effectively 0% ✓
From passenger riding in a jeepney	500,000	CCT
From agricultural food products (original state)	600,000	VAT Exempt

Which of the statements is correct?
   a. The basis for VAT registration is P4,600,000.
   b. The basis for VAT registration is P3,500,000.
   c. The basis for VAT registration is P3,100,000.
   d. The basis for VAT registration is P3,000,000.

SITUATIONAL
The following information was gathered pertaining to the business of a VAT-registered person for a taxable period.

Regular VAT-subject sales	P6,000,000
VAT-zero-rated sales	1,500,000
VAT-exempt sales	2,500,000
Input tax – regular VAT-subject sales	400,000
Input tax that cannot be allocated	300,000

157. How much shall be declared as total sales under line 19 (BIR Form 2550Q)?
   a. P10,000,000
   b. P 8,500,000
   c. P7,500,000
   d. P6,000,000

158. How much shall be the total VAT-subject sales?
   a. P10,000,000
   b. P 8,500,000
   c. P7,500,000
   d. P6,00,000

159. How much is the net VAT payable? Assuming input VAT on 0% sale will be refunded.
   a. P420,000
   b. P320,000
   c. P140,000
   d. P 20,000

OV	6M X 12%	720K
IV	400k+(6/10x300k)	(580k)
VAT payable		140k

160. Which of the following transportation providers is not subject to the 3% percentage tax on domestic carriers?
   a. School bus operators
   b. Cargo truck operators
   c. Passenger jeepney operators
   d. Car rental business

161. Which of the following franchise grantees shall be subject to 2% percentage tax?
   a. Radio/TV broadcasting
   b. Gas and water utilities
   c. PAGCOR and its licensees and franchisees
   d. None of the choices

162. It shall refer to any service that is supplied over the internet or other electronic network with the use of information technology and where the supply of the service is essentially automated.
   a. Automated service
   b. Online service
   c. Internet service
   d. Digital service

163. There shall be levied, assessed and collected on every sale, exchange, or other disposition of shares of stock and other securities listed and traded through a local and foreign stock exchange, other than sale by a dealer in securities, in lieu of capital gains tax, a tax of:
   a. 1/10 of 1% of the gross selling price or gross value in money of the shares of stock/other securities sold, exchanged or disposed
   b. 6/10 of 1% of the gross selling price or gross value in money of the shares of stock/other securities sold, exchanged or disposed before CMEPA

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c. 50% of 1% of the gross selling price or gross value in money of the shares of stock/other securities sold, exchanged or disposed
d. 75% of 1% of the gross selling price or gross value in money of the shares of stock/other securities sold, exchanged or disposed

164. Statement I: Generally, VAT shall be levied, assessed, and collected, equivalent to twelve percent (12%) of the gross sales derived by a Digital Service Provider (DSP) from its sale or exchange of services in the Philippines.

Statement II: The phrase "sale or exchange of services" includes the supply or delivery of digital services by Digital Service Providers (DSPs) in the Philippines.

GR: situs of services- where the service is performed

XPN: VDS - where the service is consumed

Statement III: Digital services provided by a nonresident Digital Service Provider (DSP) shall be considered performed, rendered, supplied, or delivered in the Philippines in the course of trade or business if such digital services are consumed in the Philippines.

a. All statements are correct
b. All statements are incorrect
c. Only Statements I and II are correct
d. Only Statements I and III are correct

165. Which of the following digital service transactions shall be exempt from VAT?
a. Educational services, including online courses, online seminars and online trainings rendered by private educational institutions, duly accredited by DepEd, CHED, TESDA, and those rendered by government educational institutions
b. Sale of online subscription-based services to DepEd, CHED, TESDA and educational institutions recognized by said government agencies
c. Services of bank, non-bank financial intermediaries performing quasi-banking functions, and other non-bank intermediaries that are rendered through different digital platforms.
d. All of the choices.

166. First statement: The purchase and sale of indigenous natural gas. aggregated gas and power generated by generation facilities using indigenous natural gas and aggregated gas shall be exempt from VAT.

Second statement: The exemption from VAT for aggregate gas is only to the extent of the amount of indigenous natural gas attributed to be in the aggregated gas.

a. Both statements are correct
b. Both statements are incorrect
c. Only the first statement is correct
d. Only the second statement is correct.

Source: RR 2-2026

EXCISE TAXES

167. Excise taxes are:
I - considered taxes on production
II - directly levied upon the manufacturer or importer
III - actually passed on to the end consumer
a. I, II and III are correct
b. I, II and III are incorrect
c. Only I and II are correct
d. Only II III are correct

168. Who shall be statutorily liable to pay excise tax on locally manufactured or imported goods?
a. Buyer
b. Seller
c. Consumer
d. None of the choices

169. *First statement*: Every fractional part of a proof liter equal to or greater than a half liter in a cask or package containing more than one liter shall be taxed as a liter, and any smaller fractional part shall be exempt.

Second statement: Any package of spirits, the total content of which are less than a proof liter, shall be taxed as one liter.
a. Both statements are correct
b. Both statements are incorrect
c. Only the first is correct
d. Only the second statement is correct

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170. Which of the following statements is incorrect?
    a. Excise tax on nonmetallic mineral or mineral products, or quarry resources shall be due and payable upon removal of such products from the locality where mined or extracted.
    b. With respect to the excise tax on locally produced or extracted metallic mineral or mineral products, the person liable shall file a return and pay the tax within fifteen (15) days after the end of the calendar quarter
    c. The taxpayer shall file a bond in an amount which approximates the amount of excise tax due on the removals for the said quarter.
    d. For imported mineral or mineral products, whether metallic or nonmetallic, the excise tax due thereon shall be paid ~~after~~ before their removal from customs custody.

171. An excise tax of twenty percent (20%) of the net retail price (excluding the excise tax and the value-added tax) per proof on distilled spirits manufactured or produced in the Philippines for domestic sales or consumption in the Philippine is:
    a. a local tax.
    b. a proportional tax.
    c. a specific tax.
    d. an ad valorem tax.

172. With respect to the excise tax on locally produced or extracted metallic mineral or mineral products, the person liable shall file a return and pay the tax within how many days after the end of the calendar quarter when such products were removed subject to such conditions as may be prescribed by rules and regulations to be promulgated by the Secretary of Finance, upon recommendation of the Commissioner.
    a. Thirty (30) days
    b. Fifteen (15) days
    c. Ten (10) days
    d. Five (5) days

173. One of the following fermented liquor is not subject to excise tax.
    a. Beer
    b. Ale
    c. Porter
    d. Basi/Tuba/Tapuy -- not subject kasi locally produced

174. Champagne is classified as:
    a. Sparkling wine
    b. Still wine
    c. Carbonated wine
    d. Fermented liquor

175. Brandy is classified as:
    a. Distilled spirit hard drinks
    b. Fermented liquor
    c. Sparkling wine
    d. Carbonated wine

176. A manufacturer of sweetened beverage using purely high fructose corn syrup (12/L) or in combination with any caloric or non-caloric sweetener presented the following data: Each package contains 3.5 liters; Selling price – P150 per package
    =4 Liters (round up)
    How much is the excise tax using P12 tax per liter?
    a. P48
    b. P36
    4L x 12 = 48 per L
    c. P12
    d. Not subject to excise tax

177. Which of the following removals of locally manufactured/assembled or release of imported automobiles from the place of production or from customs' custody, respectively, are exempt from the payment of the appropriate excise taxes subject to certain conditions?
    a. Removals for Export
    b. Delivery to tax-exempt persons or entities
    c. Removals for delivery and use exclusively within the freeport zone
    d. All the choices

178. Which of the following shall be exempt from excise tax?
    a. International carriers of Philippine or foreign registry directly importing petroleum products, on their use or consumption outside the Philippines.
    b. Exempt entities or agencies covered by tax treaties, conventions and other international agreements for their use or consumption
    c. Entities which are by law exempt from direct and indirect taxes.
    d. All of the choices.

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179. Which of the following vehicles shall be exempt from the applicable excise tax prior to the removal of the automobiles from the manufacturing plant or customs custody?
   A. Purely electric vehicles
   B. Hybrid vehicles exempt up to 50% only. still subject to excise tax to the remaining 50%.

a. A and B
b. A only
c. B only
d. Neither A nor B

DOCUMENTARY STAMP TAXES

180. Which of the following is not an effect of failure to affix the required DST?
   a. An instrument, document or paper which is required by law to be stamped and which has been signed, issued, accepted or transferred without being duly stamped, shall not be recorded.
   b. An instrument, document or paper or any copy thereof or any record of transfer of the same which is required by law to be stamped shall not be admitted or used in evidence in any court until the requisite stamp or stamps are affixed thereto and cancelled.
   c. No notary public or other officer authorized to administer oaths shall add his jurat or acknowledgment to any document subject to documentary stamp tax unless the proper documentary stamps are affixed thereto and cancelled.
   d. An instrument, document or paper which is required by law to be stamped and which has been signed, issued, accepted or transferred without being duly stamped, shall make the transaction void.

181. The Documentary Stamp Tax Return shall be filed within how many days after the close of the month when the taxable document was made, signed, accepted or transferred and the tax thereon shall be paid at the same time the aforesaid return is filed.

a. Thirty (30) days
b. Fifteen (15) days
c. Ten (10) days
d. Five (5) days

182. DST is levied on the exercise by person of certain privileges conferred by law for the creation, revision, or termination of specific legal relationship through the execution of specific instruments. It is classified as:
   a. a business tax.
   b. a transfer tax.
   c. an excise tax.
   d. a property tax.

183. First statement: DSTs are levied independently of the legal status of the transactions giving rise thereto.

   Second statement: DSTs must be paid upon the issuance of the instruments, without regard to whether the contracts which gave rise to them are rescissible, void, voidable, or unenforceable.
   a. Both statements are correct
   b. Both statements are incorrect
   c. Only the first statement is correct
   d. Only the second statement is correct.

184. First statement: No person shall collect, sell or offer to sell documentary stamps for more than its face value.

   Second statement: The use of a previously affixed loose documentary stamp for affixture to another taxable document is strictly prohibited.

a. Both statements are correct
b. Both statements are incorrect
c. Only the first statement is correct
d. Only the second statement is correct.

185. The new rate for DST on 0riginal issue of shares of stock is:
   a. P2.00 on each Two hundred pesos (P200), or fractional part thereof, of the par value, of such shares of stock
   b. P1.50 on each Two hundred pesos (P200), or fractional part thereof, of the par value, of such shares of stock
   c. 50% of 1% on each Two hundred pesos (P200), or fractional part thereof, of the par value, of such shares of stock
   d. 75% of 1% ~~on each Two hundred pesos (P200), or fractional part thereof~~, of the par value, of such shares of stock

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186. The sale or transfer of assets to the Special Purpose Entity (SPE), including sale or transfer of any and all security interest thereto, made in accordance with the Securitization Plan shall be exempted from:
    A. Value-Added Tax
    B. Documentary stamp tax

a. Both A and B
b. A only
c. B only
d. Neither A nor B

187. The original issuance of Asset-Backed Securities (ABS) and other securities related solely to such securitization transaction, such as, but not limited to, seller's equity, subordinated debt instruments purchased by the originator, and other related forms of credit enhancement shall be subject to:

a. VAT.
b. any other taxes imposed.
c. DST.
d. Percentage tax.

TAXATION UNDER LOCAL GOVERNMENT

188. Which of the following fundamental principles shall govern the exercise of the taxing and other revenue-raising powers of local government units?
    I - Taxation shall be uniform in each local government unit;
    II - The collection of local taxes, fees, charges and other impositions shall in no case be left to any private person;
    III - Each local government unit shall, as far as practicable, evolve a progressive system of taxation.

a. I, II and III
b. I and II only
c. II and III only
d. III only

189. In cases where a person conducts or operates two (2) or more businesses mentioned in Section 143 of the Local Government Code which are subject to different rates of tax, the gross sales or receipts of each business:
a. shall be separately reported for the purpose of computing the tax due from each business.
b. shall be computed on the combined total gross sales or receipts of the said two (2) or more related businesses.
c. shall be reported or computed using either choices a or b.
d. shall be reported or computed using neither choices a nor b.

190. The power to impose a tax, fee, or charge or to generate revenue under the Local Government Code shall be exercised by:
a. the *Sanggunian* of the local government unit concerned through an appropriate ordinance.
b. Office of the Mayor of the local government unit concerned through appropriate executive orders.
c. Office of Assessor of the local government unit concerned through appropriate assessments.
d. Office of the Municipal Administrator of the local government unit concerned through appropriate administrative policies.

191. Unless otherwise provided in the Local Government Code, all local taxes, fees, and charges shall be paid when?
a. within the first thirty (30) days of January or of each subsequent quarter, as the case may be.
accrue: Jan. 1
deadline: Jan. 20
b. within the first twenty (20) days of January or of each subsequent quarter, as the case may be.
c. within the first ten (10) days of January or of each subsequent quarter, as the case may be.
d. within the first five (5) days of January or of each subsequent quarter, as the case may be.

20% 2%
192. A residential land is located in Metro Manila. Its fair market value is P5,000,000.

How much is the basic real property tax, if any?

5M x 20% x 2% = 20k

a. P30,000
b. P20,000
c. P10,000
d. None of the choices

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Total RPT = 20k + 10k = 30k

193. How much is the Special Educational Fund (SEF), if any?
    a. P30,000
    b. P20,000
    c. P10,000 1M x 1%
    d. None of the choices

T -20%
R -20%
A -40%
G -50%
I -50%
C -50%

194. An agricultural land (40%) is located in the province (1%). Its fair market value is P2,000,000. How much is the basic real property tax, if any?
    a. P16,000
    b. P 8,000
    c. P4,000
    d. None of the choices

2Mx40%x1%= 8k

195. First statement: All local taxes, fees, and charges shall be collected by the provincial, city, municipal, or Barangay treasurer, or their duly authorized deputies.

    Second statement: The provincial, city or municipal treasurer may designate the Barangay treasurer as his deputy to collect local taxes, fees, or charges.
    a. Both statements are correct
    b. Both statements are incorrect
    c. Only the first statement is correct
    d. Only the second statement is correct

PREFERENTIAL TAXATION

196. In the purchase of goods and services which have promotional discount, the senior citizen or PWD can avail:
    a. of the promotional discount or the senior citizen/PWD discount whichever is higher.
    b. of the promotional discount or the senior citizen/PWD discount whichever is lower.
    c. of both the promotional discount or the senior citizen/PWD discount.
    d. of neither the promotional discount nor the senior citizen/PWD discount.

197. Senior citizens and PWDs are not exempted from which of the following taxes?
    I - 20% final withholding tax on certain passive income
    II - 15% final withholding tax on interest from a depository bank under EFCDS
    III - VAT or other Percentage Taxes, if he is self-employed or engaged in business or practice of profession
    IV - 6% capital gains tax on presumed capital gain on sale of real property classified as capital asset

    a. I, II, III and IV
    b. I, II and IV only
    c. II and IV only
    d. I and II only

198. Which of the following is not an incentive given to a Barangay Micro Business Enterprise?
    a. Exemption from income tax for income arising from the operations of the enterprise
    b. Exemption from the coverage of the Minimum Wage Law
    c. Exemption from SSS and Philhealth contributions
    d. Availment of credit services from government financing institutions

199. A person applying to be registered as a BMBE shall meet which of the following qualifications?
    I - With an asset of not more than Three Million Pesos (P3,000,000.00) excluding land;
    II - Engaged in the production, processing or manufacturing of products or commodities, including agro-processing, trading and services;
    III - Registered with the Department of Trade and Industry (DTI) for sole proprietorships, for juridical persons; with Securities and Exchange Commission (SEC) for corporations.

    a. I, II and III
    b. I and II only
    c. I and III only
    d. I only

200. (Preferential Taxation) An individual is operating a trading business enterprise. He is asking you to assist him to register his business under the Barangay Micro Business Enterprise (BMBE) so he can avail of the incentives granted under it. His total assets including the cash of P300,000 he loaned from a bank amounted to P3,500,000. The total assets also include P500,000 value of the land on which the particular business entity's office, plant and equipment are situated. Is the individual qualified?
    a. No. Because he is engaged in a trading business which is specifically excluded from those who can register under BMBE.
    b. Yes. Because his total assets excluding the land on which the particular business entity's office, plant and equipment are situated do not exceed P3,000,000.

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c. No. Because only juridical persons are qualified to register under BMBE.
d. Yes. Because trading business is automatically qualified regardless of the total assets.

201. In order to avail of the privileges under BMBE Act, the concerned taxpayer shall file application with:
a. Barangay Treasurer
b. Municipal Treasurer
c. Sangguniang Bayan
d. Negosyo Centers established by DTI

202. The nature and purpose of DOUBLE TAXATION AGREEMENTS (DTAs)
I - Avoidance of double taxation
II - Prevention of fiscal evasion with respect to taxes on income

a. Both I and II
b. Neither I nor II
c. I only
d. II only

203. In case of conflict between tax treaty and domestic laws:
a. the provisions of the tax treaty generally prevail over the provisions of the domestic law.
b. the provisions of the domestic law generally prevail over the provisions of the tax treaty.
c. the domestic law of the richer country generally prevail in most cases
d. the countries entering into the treaty shall apply their domestic laws.

204. (Preferential Taxation) If the goods or services are used in both the registered project or activity and administration purposes and the proper allocation could not be determined, the purchase of such goods and services shall be:
directly attributable dapat
a. subject to 12% VAT.
b. subject to 0% VAT.
c. exempt from VAT.
d. disregarded.

205. (Preferential Taxation) First statement: Registered Business Enterprises (RBEs) which are categorized as Domestic Market Enterprises (DME) are not entitled to VAT zero-rating on local purchases.

Second statement: Sale of goods or services to a registered domestic market enterprise shall be exempt VAT.
a. Both statements are correct
b. Both statements are incorrect
c. Only the first statement is correct
d. Only the second statement is correct

206. (Preferential Taxation) How much discount is granted to senior citizens on his purchase of basic and prime commodities, subject to limitations?
a. 20%
b. 15%
c. 10%
d. 5% basic/prime - 5 letters

207. Effective July 1, 2020, Special Corporate Income Tax (SCIT) is:
a. 5% based on gross income earned, in lieu of all national and local taxes.
b. 10% based on gross income earned, in lieu of all national and local taxes.
c. 15% based on gross income earned, in lieu of all national and local taxes.
d. 20% based on gross income earned, in lieu of all national and local taxes.

208. (Preferential Taxation) If the goods or services are used in both the registered project or activity and administration purposes and the proper allocation could not be determined, the purchase of such goods and services shall be:
a. subject to 12% VAT.
b. subject to 0% VAT.
c. exempt from VAT.
d. disregarded.

209. (Preferential Taxation) First statement: Registered Business Enterprises (RBEs) which are categorized as Domestic Market Enterprises (DME) are not entitled to VAT zero-rating on local purchases.

Second statement: Sale of goods or services to a registered domestic market enterprise shall be exempt VAT.
a. Both statements are correct
b. Both statements are incorrect
c. Only the first statement is correct
d. Only the second statement is correct

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210. (Preferential Taxation) This model generally favors retention of greater so called "source country" taxing rights under a tax treaty—the taxation rights of the host country of investment—as compared to those of the "residence country" of the investor.
   a. OECD Model Tax Convention
   b. UN Model Double Taxation Convention
   c. United States Model Income Tax Convention
   d. None of the choices

211. Registered export and domestic market enterprises are allowed to deduct:
   A. Fifty percent (50%) additional deduction on the labor expense incurred in the taxable year.
   B. One hundred percent (100%) additional deduction on training expense incurred in the taxable year.

   a. Both A and B
   b. Neither A nor B
   c. A only
   d. B only

212. The creditable withholding tax rate on the purchase of goods and services from RBES of the Philippine Government or any of its political subdivisions, instrumentalities, or agencies, including GOCCs shall now be amended to:
   a. twenty percent (20%)
   b. fifteen percent (15%)
   c. twelve percent (12%).
   d. ten percent (10%).

213. First statement: All local sales of RBEs shall be subject to VAT regardless of the income tax regime (i.e., Income Tax Holiday (ITH), 5% Gross Income Earned (GIE)/Special Corporate Income Tax (SCIT), Enhanced Deduction Regime (EDR), or Regular Corporate Income Tax (RCIT).

   Second statement: The location of the transaction and the RBE, whether inside the ecozone, freeport or customs territory, such as those Registered Export Enterprises (REEs) registered with the Board of Investments (BOI), are no longer the determining factors in so far as the taxability for local sales of RBEs for VAT purposes is concerned.

   a. Both statements are correct
   b. Both statements are incorrect
   c. Only the first statement is correct
   d. Only the second statement is correct

214. Statement I - For purchase of goods from economic zones or freeport, he filing and payment of the "VAT on B2B local sales by RBEs" shall be on a transaction basis using the BIR Form to be prescribed by the BIR for this purpose through a separate revenue issuance.

   Statement II - For purchase of services from economic zones or freeport, the filing and payment of the "VAT on B2B local sales by RBES" shall be on a monthly basis using the BIR Form to be prescribed by the BIR for this purpose through a separate revenue issuance.

   Statement III - For purchases of goods and/or services from BOI-registered enterprise, the filing and payment of the "VAT on B2B local sales by RBEs" shall be on a monthly basis using the BIR Fornm to be prescribed by the BIR for this purpose through a separate revenue issuance.

   a. All statements are correct
   b. All statements are incorrect
   c. Only Statement I and II are correct
   d. Only Statement III is correct

215. First statement: The filing and payment of the "VAT on B2B local sales by RBEs" shall be on a per transaction basis using the BIR Form to be prescribed by the BIR for this purpose through a separate revenue issuance.✓

   Second statement: In cases where the shipment of the goods purchased in the ecozone or freeport is in bulk (e.g., delivered through a single container truck) and is covered by several invoices, the buyer may opt to pay the VAT due thereon in a single payment.✓
   a. Both statements are correct
   b. Both statements are incorrect
   c. Only the first statement is correct
   d. Only the second statement is correct.

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216. First statement: An RBE availing of the 5% B. Special Corporate Income Tax (SCIT) or Gross Income Earned (GIE) regime, and whose registered activities are all under the same income tax incentive, may opt to register as a VAT taxpayer solely for purposes of its local sales.

Second statement: Optional VAT registration of RBE shall not affect its entitlement to its existing fiscal and non-fiscal incentives, including VAT zero-rating on local purchases and VAT exemption on importation, provided these are directly attributable to its registered activities.

a. Both statements are correct
b. Both statements are incorrect
c. Only the first statement is correct
d. Only the second statement is correct

217. First statement: VAT-registered Domestic Market Enterprises (DMEs) that do not qualify for VAT zero-rating on local purchases or VAT exemption on importation despite being registered with any of the Investment Promotion Agencies are subject to VAT on both their local purchases and importation.

Second statement: The application of Section 295(D) of the Tax Code to their local sales mandating the buyer to pay and remit the corresponding VAT to the BIR would result in accumulated unutilized input VAT from local purchases and importations, which are not eligible for refund under Section 112(A) of the Tax Code.

a. Both statements are correct
b. Both statements are incorrect
c. Only the first statement is correct
d. Only the second statement is correct.

END OF PREWEEK LECTURE

TAXATION TABLE OF SPECIFICATIONS

TOPICS	Weight in Percentage	Number of items
1.0 Principles of Taxation	11.43%	8
2.0 Tax Remedies	11.43%	8
3.0 Income Taxation	20.00%	14
4.0 Transfer Taxes	17.14%	12
5.0 Business Taxes	17.14%	12
6.0 Excise Tax	2.85%	2
7.0 Documentary Stamp Tax	2.85%	2
8.0 Taxation Under Local Government Code	5.73%	4
9.0 Preferential Taxation	11.43%	8
Total	100.00%	70

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